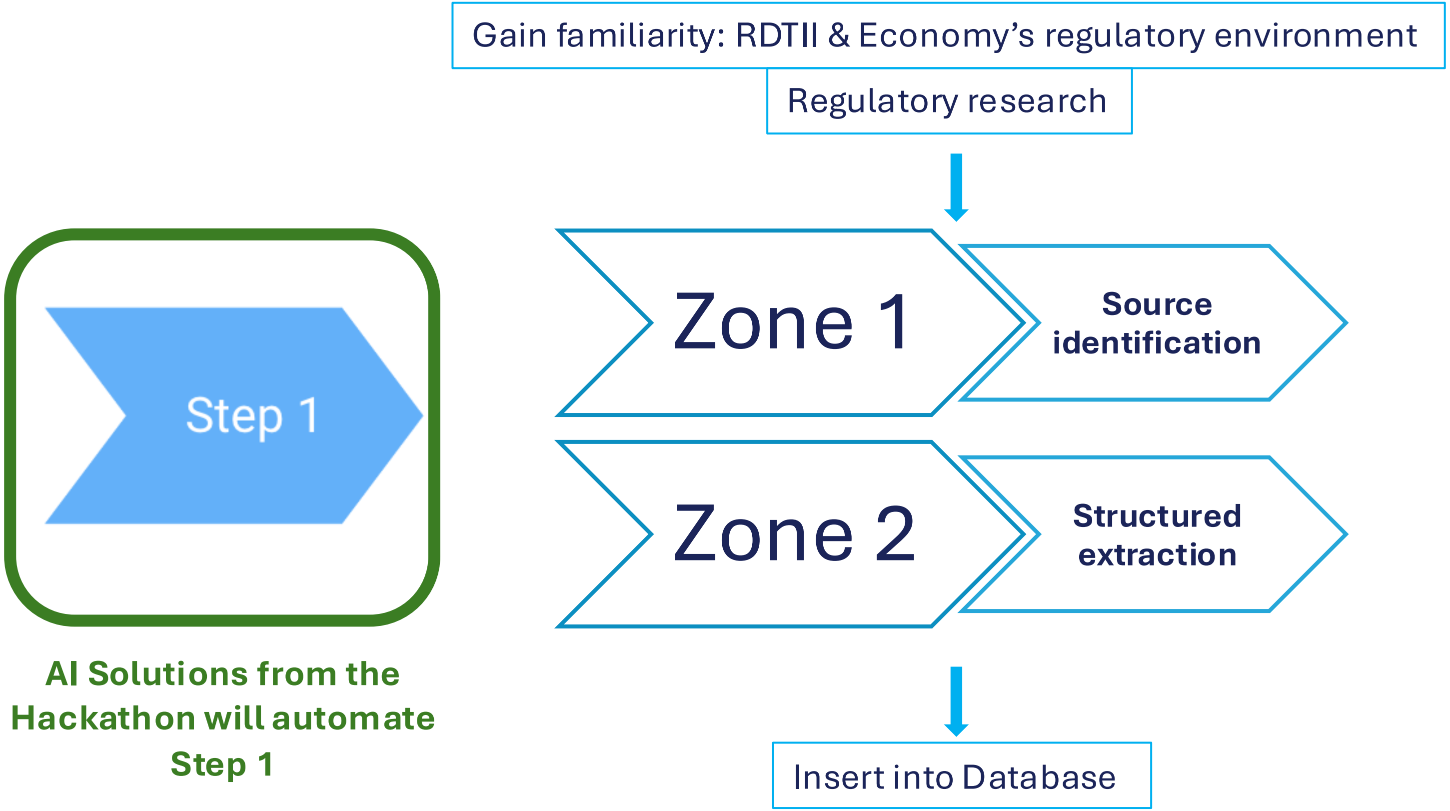
RDTII 2.1 Internal Guide

Current ESCAP process for RDTII database

AI Solutions from the Hackathon will automate Step 1

How: Current manual process for data collection



AI Solutions from the Hackathon will automate Step 1

Gain familiarity with an economy's regulatory environment

ESCAP

- Understand an economy's **legal system**
- WTO Trade Policy Reviews Report
- Identify whether an economy is a member of specific regional groups or economic unions (e.g., ASEAN, EAEU, APEC, etc.).
- Membership in these groups entails commitment to specific laws within their regional frameworks. Hence, the answers related to specific laws should be applied for consistency across databases.

Gain familiarity with RDTII

1. **RDTII Policy Measure Coverage**
    1) Measures affecting digital trade-related products and services.
    2) Non-preferential and enforced measures from official sources, focusing on domestic and international frameworks.
    3) Horizontal and vertical measures.
    4) Scoring criteria.
2. **Practical applications**
    1) Online portal
    2) Knowledge products

Policy Measure Coverage

1. Measures affecting digital trade-related products and services

2. Non-preferential and enforced measures from official sources, focusing on domestic and international frameworks.

3. Horizontal and vertical measures.

4. Scoring criteria

1.Measures affecting digital trade-related products and services

- **Digital trade** includes:
  - **Digitally ordered trade:** international sales or purchases of goods and/or services conducted over computer networks
  - **Digitally delivered trade:** international service transactions delivered remotely over computer networks
- **ICT products:** goods used to capture, transmit, process, and render information
  - **ITA I, ITA II, ITA III**
    - ITA III list purposed by the Information Technology and Innovation Foundation (ITIF) including next generation ICT products (e.g., 3D printing, drones, and robots).
  - **Raw materials** such as rare earth, used in the production of the ICT products, are not covered in the current RDTII framework.
  - **E-waste and used ICT products** will not assign a score.
- **Digital products / digital goods**: intangible products created and delivered digitally
- **Digital services:** services delivered via digital means
- **Excludes:**
  - regulations on **non-commercial services**
  - regulations applying **only to offline versions**

RDTII Guide 2.1: https://www.unescap.org/kp/2025/regional-digital-trade-integration-index-rdtii-21-guide

2. Non-preferential and enforced measures from official sources

- **Non-preferential measure**
- Covers domestic regulations and specific international frameworks
- Excludes preferential trade agreement provisions
- **Enforced measure**
- Excludes pending draft and repealed measures
- **Official sources**
- Covers official laws, regulations, guidelines, government decisions, case laws, etc.
- Excludes secondary sources (reports, news, and legal reviews).
  - **! Exception:**
    - Sub-pilar focuses on enforcement and practices (Indicator 3.4, 5.3, 9.1)
    - Calculations of tariffs on imported ICT products: WITS database ~~(Indicator 1.1, 1.2)~~
    - Presence of the Internet shutdowns: V-Dem database ~~(Indicator 9.2)~~
    - International/Regional Instruments engagement: Third-party website ~~(Indicator 1.3, 2.4, 4.4, 4.7, 4.8, 5.6, **6.5**, 12.10, 12.11, 12.12, 12.13)~~

No need to develop data-extraction tools, as the relevant data is sourced from established third-party databases and websites.

The Non-regulatory indicators list is provided in the knowledge portal, removed from the sample database provided.

RDTII Guide 2.1: https://www.unescap.org/kp/2025/regional-digital-trade-integration-index-rdtii-21-guide

3. Horizontal and vertical measures

- **Vertical Coverage**
- Encompasses all levels of legal hierarchy, from overarching laws (Acts) to supplementary regulations (decrees, decisions, etc.).
- **Horizontal Coverage**
- Includes laws with broad application across sectors (e.g., Public Procurement Act, Foreign Business Act).
- Sector-specific regulations apply to telecom, computer, e-commerce, etc.

Note: Each indicator has a specific scope and exception.
E.g., Pillar 6 (cross-border data policies), measures applied to government data should not get scored.

4. Scoring criteria

- **A score more than “0”**
- High compliance costs
- **A score of “0”**
- Low compliance costs
- Absence of specific measures/ regulations
  - Citing relevant general rules (if have)
  - State the reason in the 'Impact' column.

The score runs from ‘0’ (low compliance cost) to ‘1’ (high compliance cost)

A score which is greater than ‘0’ indicates one of the following

1. A measure implies a **differential treatment** between domestic and foreign providers of ICT goods, online services, digitally-delivered products despite being in the same or similar circumstances.
2. A measure aims to achieve a non-economic objective but ends up **blocks or discourages foreign and local businesses** from participating in digital trade in the regulating economy.
3. An economy **fails to adopt a certain international agreement**, legislation, or legal mechanism considered of significant importance for the development of digital trade

Annex FAQs

- **Pillar 1 – Tariffs and Trade Defence**
- **Indicator 1.4 (Trade defense measures): Pakistan imposes anti-dumping on Polyvinyl Chloride Resin Suspension Grade. Is this product considered an ICT product?**
  - The ICT products captured under the RDTII database are based on the list of the WTO ITA 1,2,3 (ITA 3 is the proposed list). Product HS code can be found under the Annex of the RDTII Guide, and Appendix D of this report: https://itif.org/publications/2021/09/16/how-an-information-technology-agreement-3-0-would-bolster-global-economic-growth-and-opportunity/
- **Pillar 2 – Public Procurement**
- **Indicator 2.1 (Exclusion of foreign firms or products): The regulations prohibit PPP with a foreign company only when the national ones are not good enough to fulfill the PPP projects. This should be given a score of 0.5 because it does not "fully exclude foreign firms under any circumstances" which is the requirement to give "1"?**
  - Yes, from the criteria, the score is 1.0 because the law applies to all foreign companies (not to specific companies) when nationals do not meet demand.
- **Indicator 2.1 (Exclusion of foreign firms or products) and Pillar 10.1 (Import ban): When the ban is applied only to Government entities – the Australian ministry is not allowed to use TikTok. Which measures can we list?**
  - One measure can be listed under several RDTII sub-pillars. In cases where a ban is applied only to Government entities, you need to check whether it is an import ban (Pillar 10.1) or a restriction under public procurement (Pillar 2).
- **Indicator 2.3 (Other limitations on foreign participation in public procurement): Should we score the requirement to set a target price in public procurement? Japan's procurement system includes this measure?**
  - Setting or changing a target price for a procurement project is a normal Government process. However, if there is discrimination, such as setting a lower price for domestic applicants compared to foreign applicants, it will be considered a restriction and given a score.
- **Pillar 3 – Foreign Direct Investment**
- **Pillar 3 (General): What is the scope of Pillar 3?**
  - Pillar 3 covers all sectors relevant to digital trade. However, Pillar 3.1 (Maximum foreign equity share) captures all sectors except for telecommunications and e-commerce sectors because these sectors are listed under Pillar 5.1 and Pillar 12.1, respectively. Licensing scheme and foreign equity for telecommunication sectors include broadcasting services, radio frequencies, and Voice-over- Internet-Protocol services (VoIP).
- **Indicator 3.1(Maximum foreign equity cap: What is the scope of the maximum foreign equity shares?**
  - The indicator captures both foreign equity cap applied to private companies and SOEs in sectors relevant to digital trade except telecommunications and e-commerce.

- **Pillar 4 – Intellectual Property Rights**
- **Indicator 4.2 (Patent enforcement): Compulsory license WTO TRIPS Article 31**
  - Exception in line with the WTO TRIPS exceptions shall not be considered as restriction. See https://www.wto.org/english/tratop_e/trips_e/trips_e.htm
- **Indicator 4.5 (Copyright privacy): If there appears to be a high piracy rate of copyright infringement even though the copyright law is in place. What score should be given in this case?**
  - The score shall be 1.0 due to the high piracy rate.
- **Pillar 5 – Telecom Regulations and Competition**
- **Pillar 5 (in general): Can the answer and score be based on the data provided in the ITU Datahub?**
  - No, please always use secondary sources as a guide to the official law. Although the ITU Datahub captures most indicators under the RDTII Pillar 5, the data available on the ITU website (accessed as of December 2023) does not clarify the name of the official law or any support information.
- **Indicator 5.2 (Foreign equity limits in telecom sectors): What is the scope of the maximum foreign equity shares here?**
  - The indicator captures both foreign equity caps applied to private companies and SOEs in the telecommunications sector.
- **Indicator 5.3 (Presence of shares owned by the government in telecom companies): What is the scope of the presence of shares owned by the government in telecom companies?**
  - This measure pertains to Government-held shares in telecom companies (not foreign equity caps in the telecom sector). Here are a few tips to address this measure: (a.) check the latest telecom market report or (b.) a list of SOEs. The SOEs list is sometimes available in the ministry supervising SOEs, e.g., the Ministry of Finance website. To answer this indicator, please (a.) list the names of all telecom companies owned by the Governments, and (b.) the percentage of shares owned by the Governments.
- **Indicator 5.5 (Telecom license) and 9.4 (Digital services and applications license): What is the difference between these indicators?**
  - License concerning digital service providers, such as ISPs, ICPs, is captured under Pillar 9.4, while telecom license is under Pillar 5.5. Please focus on each license type to distinguish between these two indicators.
- **Indicator 5.6 (Signature of the WTO Telecom Reference Paper) How do you check if the country has appended to the WTO Telecom Reference Paper?**
  - Determine whether the country has appended the WTO reference paper by checking the schedule of concessions from the official website: “Schedules of specific commitments and lists of Article II exemptions” https://www.wto.org/english/tratop_e/serv_e/serv_commitments_e.htm. Also, this is a specific website for Telecom Reference paper commitments and exceptions: https://www.wto.org/english/tratop_e/serv_e/telecom_e/telecom_commit_exempt_list_e.htm. However, several times, the WTO does not show all countries appended to the paper on this page. In case the country name does not appear on the specific page, please check the first link (full schedules of commitments).

- **Indicator 5.7 (Independent telecom regulator) How to determine "independent"?**
    - Law on establishing of the telecom regulator or Telecommunication Act generally provides the telecom regulator's duties and powers, determining its independence.
- **Pillar 6 – Cross-border Data Policies**
- **Indicator 6.1 (Ban to transfer and local processing requirement) and 6.4 (Conditional flow regime): What is the difference between Indicator 6.1 and 6.4?**
    - If a law completely prohibits data transfer abroad, it should be categorized as a "ban to transfer." (Pillar 6.1). However, if the law prohibits the data to transfer but the data can be transferred when certain conditions/requirements are fulfilled (e.g., obtaining the data subject's consent), it falls under "conditional flow regime." (Pillar 6.4). Note that Pillar 6.1 further captures when the data must be processed locally.
- **Indicator 6.3 (Infrastructure requirement): Does the law governing the data center (for example, security control, registration requirement, license) list under this indicator?**
    - Indicator 6.3 captures <u>whether transferring data abroad</u> is subject to an infrastructure requirement or <u>the need to establish a data center or server locally</u>.
    - The indicator 6.3 does not cover the requirements that applied to the already established data center (e.g., the data center shall ensure data privacy of the collected data, etc.) or the requirement that the applicant needs to conform to establish a data center in respective jurisdiction (e.g., licensing requirement, registration). However, the licensing requirements for data centers might be applicable under indicator 9.4 (Digital services and applications license).
    - In a case where a country does not mandate the requirement to establish the infrastructure for data transfer purposes, but has implemented other data center requirements, you can add that information and assign a score of 0.00.
- **Pillar 7 – Domestic Data Protection and Privacy**
- **Indicator 7.1 (Framework for data protection): How to determine "comprehensive data protection"?**
    - To determine whether the data protection law is comprehensive or not when the law is applied horizontally across all sectors. If the law applies to a specific sector, please assign a score of 0.5.
- **Indicator 7.3 (Minimum period for data retention): How to determine the "minimum" period of data retention?**
    - If the duration (e.g., day, month, year) is clearly specified, the measure is the 'minimum period of data retention'. However, if the retention period is not specified, you can mark a measure in the database and score it as 0.00.
- **Pillar 8 – Internet Intermediary Liability**
- **Indicator 8.4 (Monitoring requirement): What is the scope of monitoring requirement captured under the RDTII?**
- The indicator captures two aspects related to the internet intermediaries: (a.) monitoring content, i.e., internet intermediaries are required to monitor the content; or (b.) blocking/removing content, i.e., internet intermediaries are required to block/remove the content.

- **Pillar 9 – Content Access**
- **Indicator 9.1 (Blocking or filtering commercial web content):**
  - When the Government blocks or filters a website, it is based on various justifications, such as political reasons or public policy objectives. We record the regulations/measures that impact the commercial website.
- **Indicator 9.3 (Restrictions to online advertising): What is the scope of online advertising requirement restriction captured under the RDTII?**
  - The regulations recorded under this indicator should be applied to (a.) only online advertising, or (b.) **both** online and offline advertising. The regulations that apply only to offline advertising (such as, billboard advertising requirement) are excluded. To determine this, please review the scope of the regulations (often found in the definition section of the law). Additionally, regulations related to ensuring advertisements are not misleading or aimed at consumer protection (e.g., advertisement cannot be made after obtaining consent) are not considered as restrictions.
- **Indicator 9.4 (Licensing schemes for digital content providers, digital services and applications): What is the scope of licensing schemes for digital content providers, digital services and applications captured under the RDTII?**
  - The indicator covers the broadcasting license. It covers various types of digital content providers, digital services and applications, such as cloud computing, data center, etc.
- **Pillar 10 – Non-technical NTMs**
- **Indicator 10 (in general): Should we score the restrictive non-technical NTMs applied to raw materials used in the production of ICT products (e.g., rare earths) but not to the ICT products themselves?**
  - No, we will score such measures as 0.00 because the dataset focuses mainly on the ICT products.
- **Indicator 10.4 (Export restrictions): What is the scope of the export restrictions captured under the RDTII?**
  - All types of export restrictions, such as export ban, export license, applied to the ICT products based on the ITA 1,2,3 is captured.
- **Pillar 11 – Standards and Procedures**
- **Indicator 11.2 (Self-certification): What are the keywords or where to find this measure?**
  - The keywords for this indicator are “certification” and “license”. We encourage you to look at the regulations pertain to technical standards, and regulations governing telecommunication equipment.
  - This indicator captures both domestic regulations and regional/MRAs. Sometimes the exception can be found under the MRAs.

- **Indicator 11.2 (Self-certification): What are the established regional/multilateral mutual recognition arrangements (MRAs) in the Asia-Pacific region?**
    - There are APEC, and ASEAN MRAs. ASEAN countries adhere to the ASEAN MRA and some APEC members adopt the APEC MRAs. Scores for these countries should be **0.5 or less** due to their memberships in these MRAs, which maintain reciprocity in recognizing conformity assessment bodies:
    - (a.) ASEAN MRA for Electronical and Electronic Equipment (ASEAN EE MRA), July 2012: https://asean.org/asean-sectoral-mutual-recognition-arrangement-for-electrical-and-electronic-equipment/
    - (b.) APEC MRA for Conformity Assessment of Telecommunications Equipment (APEC TEL MRA), July 1999: https://www.apec.org/groups/som-steering-committee-on-economic-and-technical-cooperation/working-groups/telecommunications-and-information/apec_tel-mra
    - (c.) APEC Electronical and Electronic Equipment Mutual Recognition Arrangement (APEC EEMRA) (Part III Acceptance of certification): https://www.apec.org/groups/committee-on-trade-and-investment/sub-committee-on-standards-and-conformance/apec_eemra
- **Indicator 11.2 (Self-certification) and 11.3 (Product testing and screening): What is the difference between these indicators?**
    - Certification and testing are different. Indicator 11.2 is concerned about certification, which is about marking, while Indicator 11.3 is concerned with (additional) testing procedures.
- **Pillar 12 – Online Sales and Transactions**
- **Indicator 12.5 (Threshold for 'De Minimis' rule): During my review, I noticed discrepancies in the conversion rates from PhP10,000.00 to SDR when using different money converter sources. Specifically, I found three sources indicating a conversion of less than 133SDR, which would result in a score of 0.5. On the other hand, two sources suggested a conversion of 133, which would give a score of 0. Could you please confirm if there is a trusted conversion website or method that we should use to obtain a clear and consistent result?**
    - The methodology has changed to a USD 200 threshold according to the UNECE prescribed guidelines. Please use IMF's USD rate as of August 31 (https://www.imf.org/external/np/fin/data/rms_five.aspx#fn1) to ensure consistency across the databases and given that the conversion rate slightly changes every day.